Roll No. .....

BBA–204

B. B. A. (SECOND SEMESTER)

END SEMESTER EXAMINATION, July/Aug., 2022

FINANCIAL MANAGEMENT

Time : Three Hours

Maximum Marks : 100

Note : (i) All questions are compulsory.

(ii) Answer any *two* sub-questions among (a), (b) and (c) in each main question.

(iii) Total marks in each main question are **twenty**.

(iv) Each sub-question carries 10 marks.

1. (a) What is Financial Management ? What role does a 'Financial Manager play in a corporate enterprise ? (CO1)

(b) Do you think Wealth Maximisation, as a goal of a company, is superior to profit Maximisation ? (CO3)

(c) What are the major Financial Decision ? How do you 'trade off risk and return ? (CO1, CO2)

2. (a) What do you mean by Capital Budgeting Process ? Explain the various steps in this process. (CO3)

(b) What is payback period ? Discuss its merits and demerits. (CO3)

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(c) A firm whose cost of capital is 10% is considering two mutually exclusive projects X and Y, the details are : (CO3)

	Project X (₹)	Project Y (₹)
Investment	(70,000)	(70,000)
Cash Flow Year 1	10,000	50,000
Cash Flow Year 2	20,000	40,000
Cash Flow Year 3	30,000	20,000
Cash Flow Year 4	45,000	10,000
Cash Flow Year 5	60,000	10,000
Total Cash Flows	1,65,000	1,30,000

Compute the Net Present Value at 10% and internal rate of return for these two projects.

3. (a) Critically examine the different approaches for computing cost of equity. (CO4)

(b) From the following capital structure and after-tax cost for different sources of funds, compute the weighted average cost of capital of a firm : (CO3)

Source of funds	Amount (₹)	After-tax cost of capitals
Equity capital	4,50,000	0.14
Retained earnings	1,50,000	0.13
Preference share capital	1,00,000	0.10
Debentures	3,00,000	0.5
Total	10,00,000	

(c) What is meant by capital structure ? Discuss the features of an appropriate capital structure. (CO2)

4. (a) Explain Net Income (NI) and Net Operating Income (NOI) approaches. (CO2)

(b) Bhaskar Manufacturing Ltd., has equity share capital of ₹ 5,00,000 (face value ₹ 100). To meet the expenditure of an expansion program, the company wishes to raise ₹ 3,00,000 and is having the following four alternative sources to raise the funds :

Plan A : To have full money from the issue of equity shares.

Plan B : To have ₹ 1,00,000 from equity and ₹ 2,00,000 from borrowing from the financial institutions @ 10% per annum.

Plan C : Full money from borrowing @10% per annum.

Plan D : ₹ 1,00,000 in equity and ₹ 2,00,000 from 8% preference shares.

The company is having present earnings of ₹ 1,50,000. The corporate tax is 50%. Select a suitable plan out of the above four plans to raise the required funds. (CO3)

(c) What are the factors which influence the dividend policy of a company ? Explain. (CO1)